

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

121,603,980 ETH

Current Total Supply

\$2,243 USD

ETH Price

0.1 Gwei

Base Gas Avg (7d)

+0.83%/yr

Current Supply Growth

For: Crypto-native investors & Ethereum ecosystem participants

ETH Supply Growing at +0.83%/Year — Only 192 ETH Burned in 7 Days

7-Day snapshot | Total supply: 121,603,980 ETH | Issuance offset: 0.01×

+19,638

ETH to validators

Issued (7d)

-192

ETH via EIP-1559

Burned (7d)

+19,446

ETH (7d)

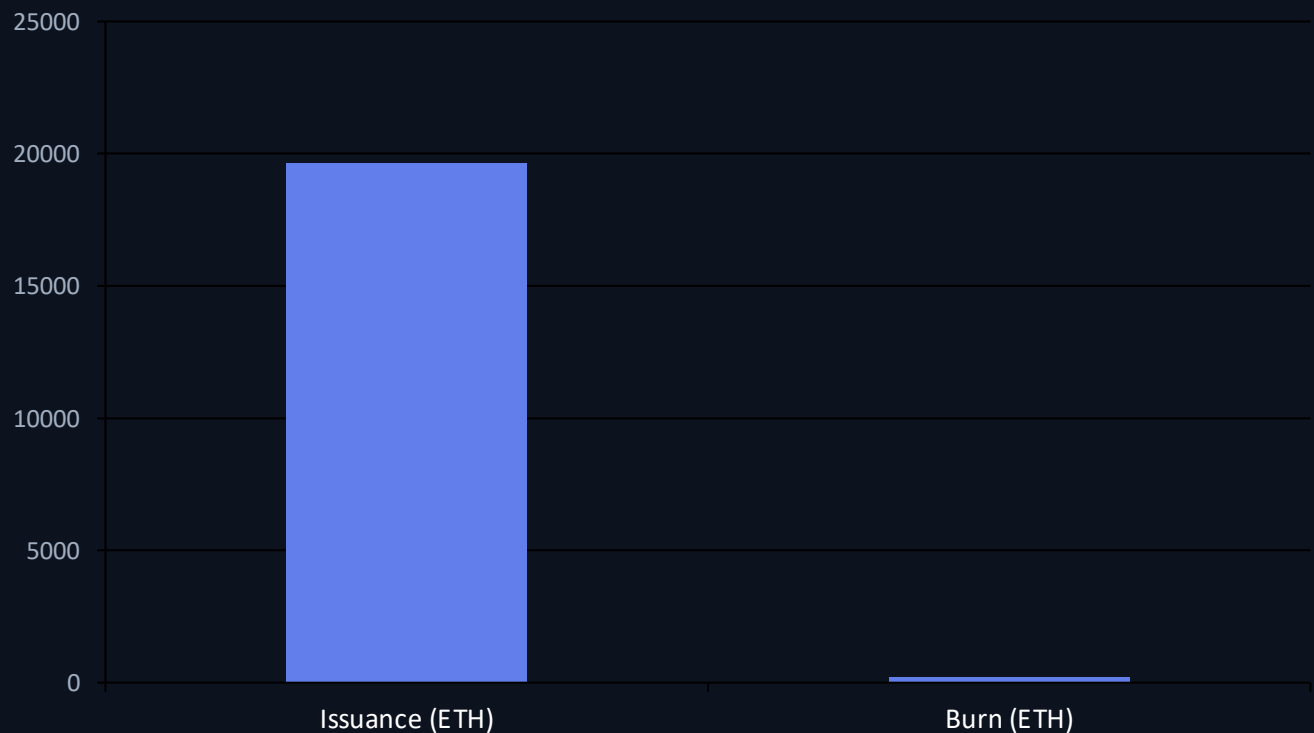
Net Change

0.01×

burn/issuance

Offset Ratio

Issuance vs. Burn — 7 Days (ETH)

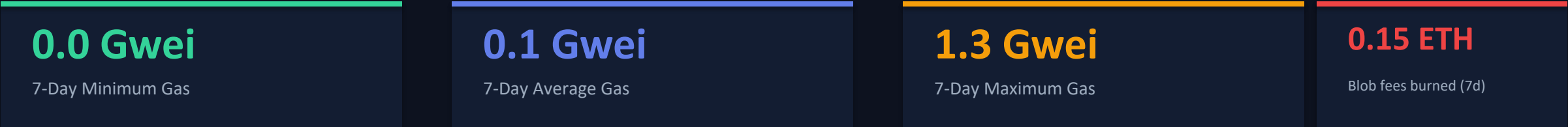


What This Means

- EIP-1559 burns base fees every block, but at 0.1 Gwei avg, the destruction rate is negligible.
- 19,638 ETH issued to validators vs only 192 ETH burned — a 99:1 issuance dominance.
- The 'ultra sound money' thesis requires gas fees well above current levels to flip deflationary.
- At 22 Gwei avg (long-run model assumption), issuance and burn would balance at ~1,037K ETH/yr.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 Mechanism | 7-Day Gas Range | Blob Fee Context



How EIP-1559 Burns Work

Every Ethereum block has a dynamically adjusting base fee.

This base fee is BURNED (destroyed) — not paid to validators.

Validators only earn priority tips + PoS issuance rewards.

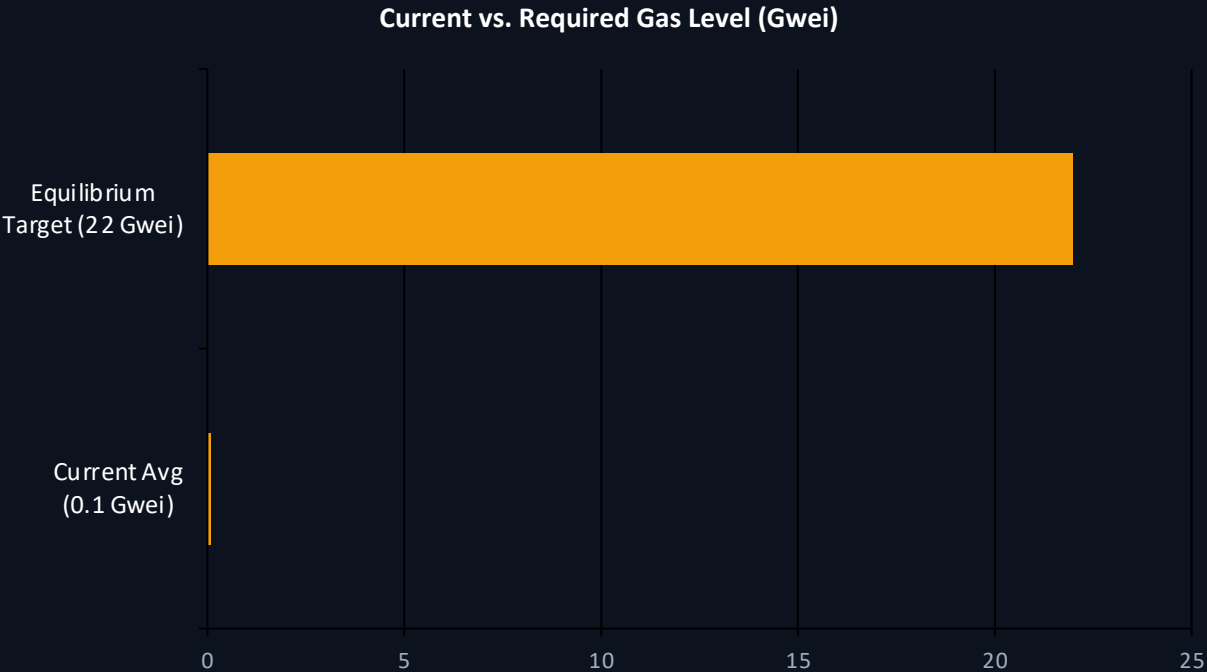
When $\text{base fee} \times \text{gas used} > \text{PoS issuance}$ → supply deflates.

Current state: base fee so low that burn ≈ zero.

Long-run model needs 22 Gwei avg to reach equilibrium.

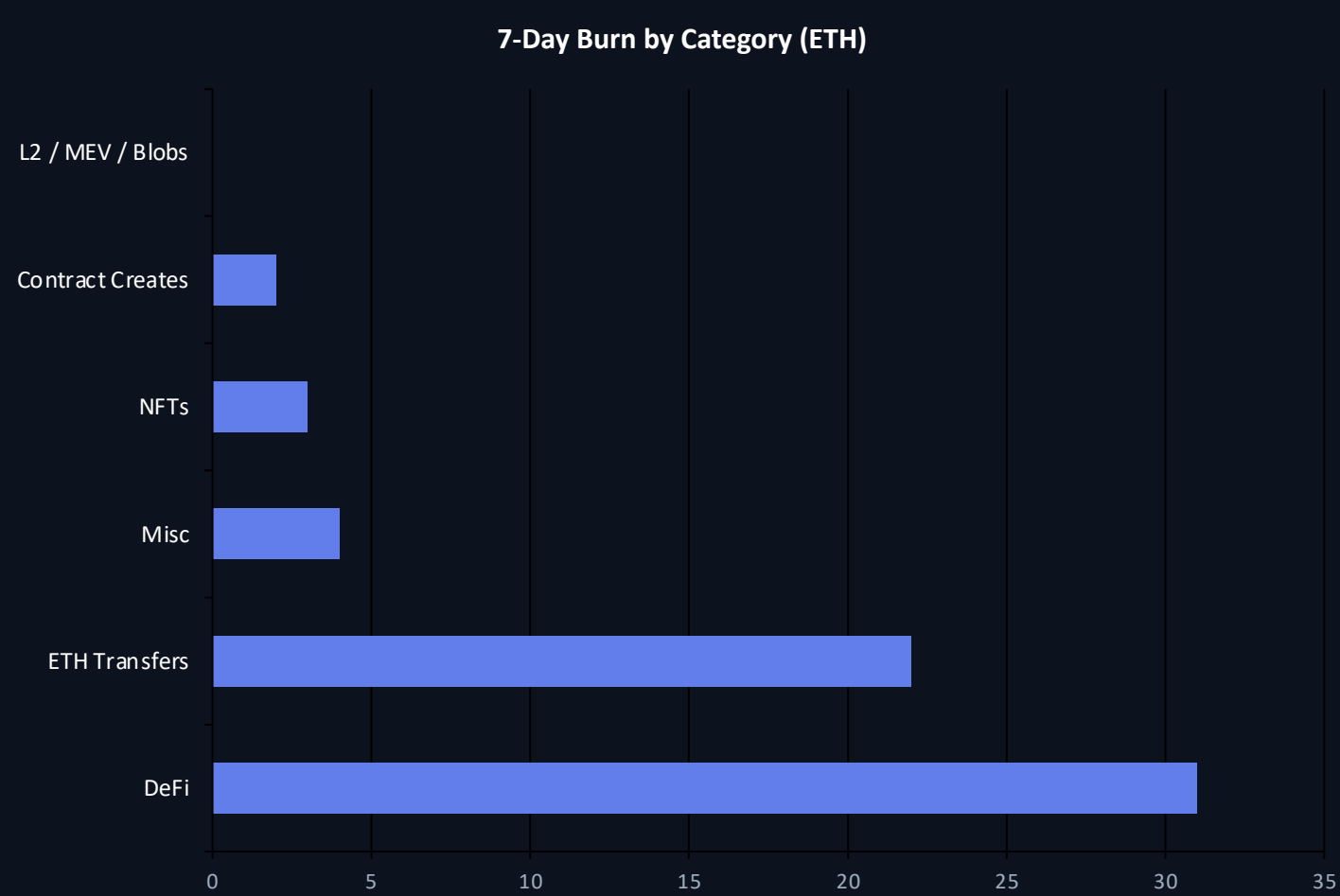
Blob fees (EIP-4844) add another burn stream, but negligible now:

7-day blob fee burn = 0.15 ETH (\$319 USD).



DeFi and ETH Transfers Account for ~85% of Weekly Fee Burn

7-Day Burn by Category | Top Burn Contracts | Total: 192 ETH



Top Burn Leaderboard (7d)	
ETH Transfers	21.74 ETH
Tether (USDT)	13.55 ETH
DeFi Contracts	~31 ETH total
NFT Contracts	~3 ETH
Contract Creates	~2 ETH
L2 / MEV / Blobs	0 ETH

Key: Per-block burn peaked at 0.07 ETH in the 7-day window. At current gas levels, L2, MEV, and Blob categories contribute zero burn. Recovery in on-chain DeFi activity is the primary catalyst for increased burn.

38.9M ETH Staked at 2.7% Issuance APR — Minimal Tips and MEV

Proof-of-Stake Economics | Validator Reward Breakdown | Supply Lock Context

38.9M

ETH (32% of supply)

Total Staked

9.1M

ETH avg 10.7 yr lock

Locked in Contracts

2,800

ETH/day

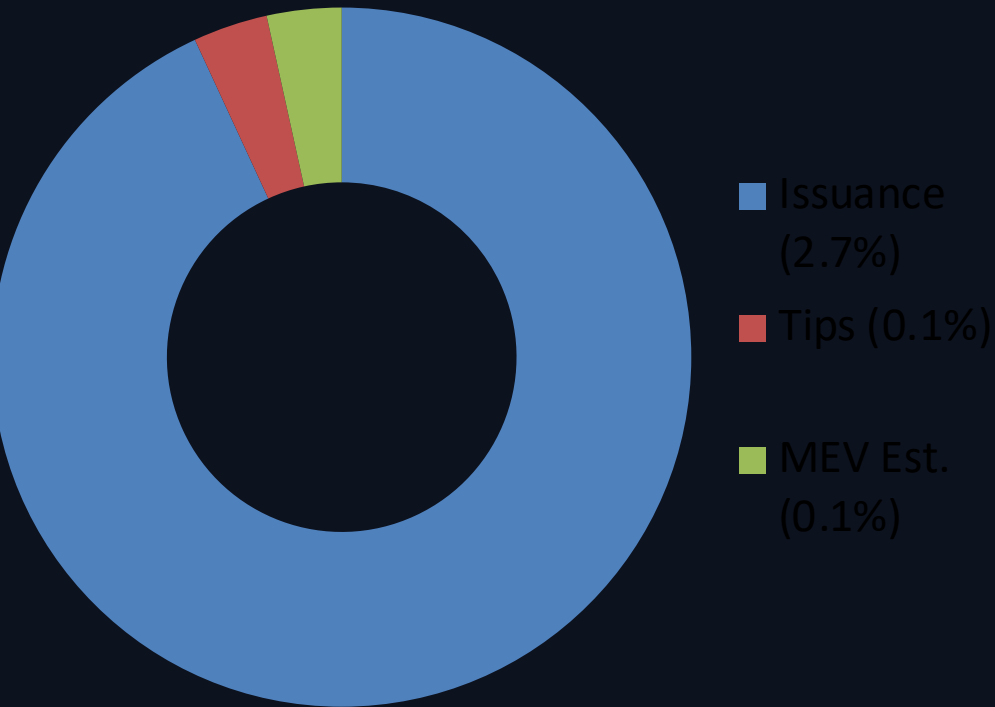
Daily PoS Issuance

~2.9%

gross (issuance+tips)

Total Validator APR

Validator APR Breakdown (~2.9% Total)

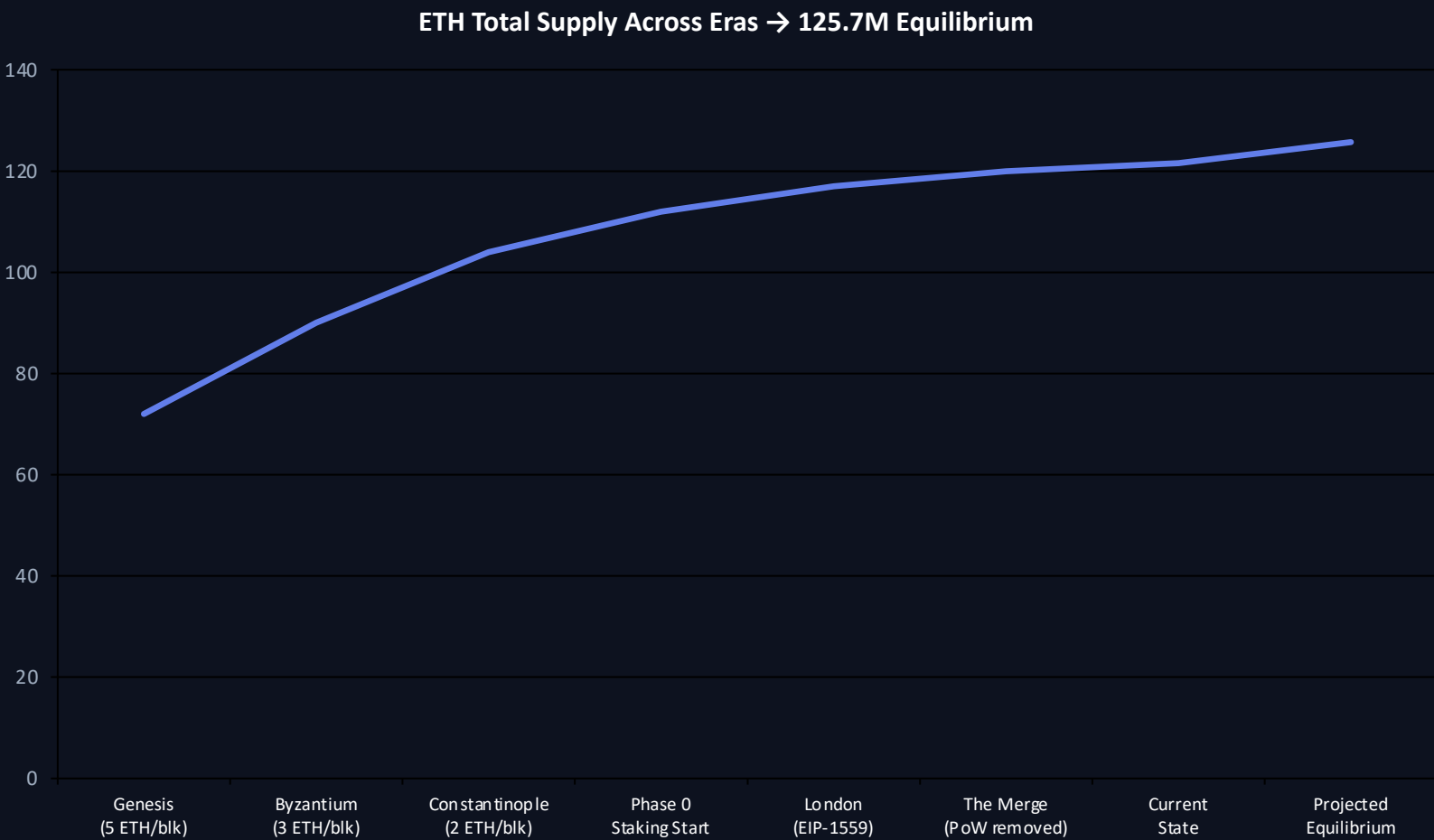


Staking Economics Context

Metric	Value
ETH Staked	38.9M ETH
% of Total Supply	~32%
ETH in Staking Contracts	9.1M ETH
Avg Stake Lock Duration	10.7 years
Issuance per Validator	0.9 ETH/yr
Issuance APR	2.7%
Priority Tips APR	0.1%
MEV Estimate APR	0.1%
Total Validator APR	~2.9%
Daily PoS Issuance	~2,800 ETH/d

Long-Term Equilibrium: 125.7M ETH — Supply Converges at 22 Gwei Sustained

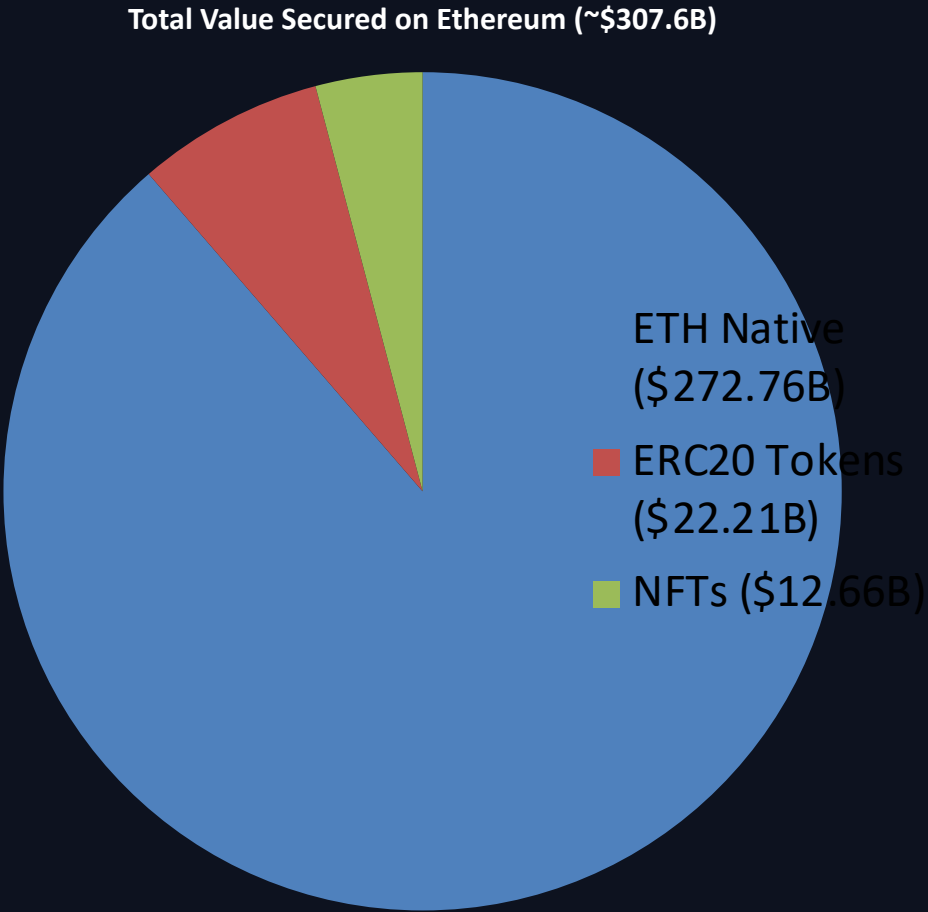
200-Year Supply Model | Era Timeline | Issuance-Burn Balance Parameters



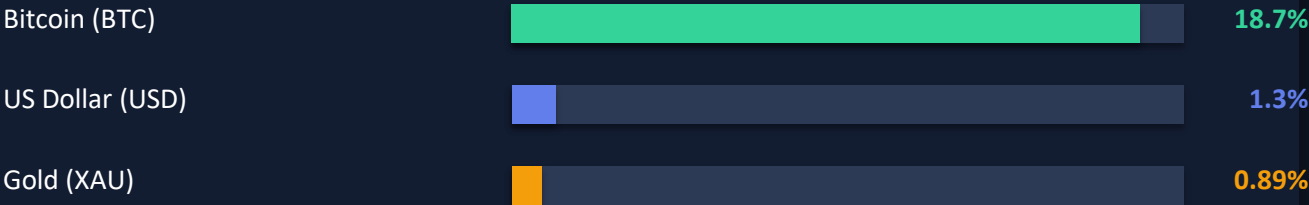
Model Parameters	
ETH Staked (model)	39M ETH
Base Gas Assumption	22 Gwei avg
Equilibrium Supply	125.7M ETH
Horizon	200 years
Issuance at Equilibrium	~1,037K ETH/yr
Burn at Equilibrium	~1,037K ETH/yr
Staker Issuance Rate	2.7%/year
Non-Staker Burn Rate	1.2%/year
Daily PoS Issuance (now)	~2,800 ETH/d
Daily Fee Burn (now)	~27 ETH/d*
* 7-day actual burn: 192 ETH total (~27/day)	

ETH at 18.7% of Bitcoin's Market Cap — Securing \$307B+ in Total Value

Flipping Progress | Total Value Secured Breakdown | Top ERC20s & NFTs



Flipping Progress — ETH vs. Major Assets



Top ERC20s by Value

Dai (DAI)	\$4.41B
Shiba Inu (SHIB)	\$3.51B
Cronos (CRO)	\$2.97B
Tether Gold (XAUT)	\$2.65B

Top NFT Collections

CryptoPunks	\$2.13B
Bored Ape YC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

Investment Implications for ETH as a Monetary Asset

01

ETH is Currently Mildly Inflationary (+0.83%/yr)

Historic low gas (0.1 Gwei avg) means burns offset only ~1% of new issuance. 192 ETH burned vs 19,638 ETH issued in the trailing 7 days. This is a temporary condition tied to low on-chain activity, not a structural flaw.

02

The Burn Mechanism Works — Recovery in Activity Flips the Script

EIP-1559 destroys base fees every block. At 22 Gwei sustained, issuance and burn balance at ~1,037K ETH/year. DeFi and ETH transfers already dominate burn (85% of weekly volume) — they just need to scale.

03

38.9M ETH Staked Creates a Structural Supply Lock

32% of supply (38.9M ETH) is staked, with 9.1M ETH locked in contracts for an avg of 10.7 years. Validators earn ~2.7% APR from issuance — MEV and tips contribute minimally today. This locks circulating supply regardless of burn rate.

04

Long-Term Equilibrium at 125.7M ETH Is Structurally Sound

200-year model converges supply to 125.7M ETH assuming 39M staked and 22 Gwei base gas. Current supply: 121.6M ETH — 3.1M ETH from equilibrium ceiling. The thesis is credible; the timeline depends on on-chain activity recovery.

05

Growing Monetary Premium — \$307B TVS, 18.7% of Bitcoin

Ethereum secures \$272.76B in native ETH + \$22.21B ERC20 + \$12.66B NFTs. ETH/BTC market cap ratio: 18.7%. vs. Gold: 0.89%. vs. USD: 1.30%. The monetary premium is real and growing — still early.

Investment Implication: The ultra sound money thesis is structurally intact. The path to deflationary ETH runs through on-chain activity recovery. Monitoring 7-day avg gas vs. the 22 Gwei equilibrium benchmark is the single most important leading indicator for supply trajectory.